

Best Pacific (2111)

Sales momentum remains solid; FX caps near-term profit growth; OW

We expect Best Pacific (BP) to remain resilient in 2H amid a lukewarm retail environment after a solid 1H (sales +13% yoy, earnings -3% yoy, dragged on mainly by FX loss; OP +12%). We now expect BP's 2H earnings to grow 1% yoy (vs. consensus at +10%), with the top line +13% (vs. consensus at +11%; solid growth across all segments, supported by the ramp-up of new projects with major clients) and a largely flat GPM and opex-to-sales ratio, dragged on by FX loss. We estimate 2027 sales/earnings of +8%/+17%. We maintain our Dec-26 PT at HK\$3.40, based on a 2027 target P/E of 5.5x (vs. its historical average of 7x and the current sector average of 10x). We remain positive on BP's outlook, given the potential to enlarge its customer base and gain market share at existing clients, driven by its strong product innovation and one-stop-solution strategy (offering comprehensive product lines of elastic fabrics, elastic webbing and lace). Maintain OW.

- **Full-year guidance upgraded to double-digit growth.** Management raised its 2026 revenue growth target from high single digits to double digits, reflecting 1H26's 13% sales growth and solid order visibility across all categories (sportswear, webbing, lingerie and outdoor all expected to grow 8-10% in 2H). Key clients remain stable: Uniqlo and Victoria's Secret each at c10% of revenue, followed by Lululemon, GAP and Under Armour at 5-10%, all trending upward. The Mega project is under active construction, with trial production targeted for Feb/Mar-27 and a 12- to 18-month ramp-up, though pre-emptive measures may shorten this. The project will also structurally reduce RMB exposure over time, mitigating FX risk. We expect 2H26 sales to increase 13%, with upside vs. guidance as new projects for Nike/UA/LULU and ALO scale faster, while partial price increases could provide additional support.
- **Margin resilience through multiple levers despite cost pressures.** 1H26 GPM of 27.1% (+0.5ppt yoy) was resilient, given raw material price spikes (15-20%), RMB appreciation and rising labor costs. This was supported by: (1) two to three months of raw material reserves, which delayed cost pressure; (2) economies of scale from 12.7% revenue growth; and (3) a product mix shift toward higher-value sportswear. NPM declined 1.7ppt, to 9.9%, attributable entirely to the HK\$37mn FX loss. Multiple uncertainties persist for 2H, including raw material volatility, RMB movement and Vietnam ramp-up costs. Management plans to defend margin through: (1) ongoing price adjustment negotiations with clients (targeting 3-5% increases effective around May-26); (2) strict cost control; (3) raw material inventory management; and (4) production efficiency gains. We expect NPM to decline 1.1ppt in 2H, to 9.7% (vs. 9.6% in 1H26), with a largely flat GPM and opex-to-sales ratio, dragged on by FX loss, and OP to increase 13%.

Overweight

2111.HK, 2111 HK

Price (08 Sep 26): HK\$2.67

Price Target (Dec-26): HK\$3.40

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (HK\$)	0.60	0.53	-12.2%
Adj. EPS - 27E (HK\$)	0.69	0.61	-11.5%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	3	4	3	2	10
Growth	68	22	70	38	24
Momentum	65	47	48	95	12
Quality	39	7	18	15	13
Low Vol	58	62	82	34	75

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 2111.HK Price (HK\$) — HSCI (rebased)

	YTD	1m	3m	12m
Abs	-17.9%	14.3%	2.5%	-23.1%
Rel	-13.4%	16.0%	0.9%	-17.8%

Company Data

Shares O/S (mn)	1,040
52-week range (HK\$)	3.74-2.25
Market cap (\$ mn)	355
Exchange rate	7.84
Free float (%)	26.5%
3M ADV (mn)	0.77
3M ADV (\$ mn)	0.2
Volatility (90 Day)	33
Index	HSCI
BBG ANR (Buy Hold Sell)	3 0 0

Key Metrics (FYE Dec)

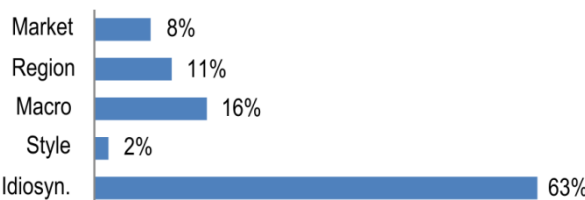
HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	5,021	5,665	6,119	6,569
Adj. EBITDA	1,081	930	1,046	1,142
Adj. EBIT	636	713	823	911
Adj. net income	551	547	638	711
Adj. EPS	0.53	0.53	0.61	0.68
BBG EPS	0.58	0.55	0.63	0.74
Cashflow from operations	1,108	953	877	947
FCFF	0	0	(0)	(0)
Margins and Growth				
Revenue Growth Y/Y (%)	(0.8%)	12.8%	8.0%	7.4%
Gross margin	26.6%	26.9%	27.5%	27.7%
EBITDA margin	21.5%	16.4%	17.1%	17.4%
EBIT margin	12.7%	12.6%	13.4%	13.9%
Adj. EPS growth	(9.3%)	(0.8%)	16.7%	11.4%
Ratios				
Adj. tax rate	10.2%	10.2%	10.2%	10.2%
Interest cover	12.6	10.2	10.9	11.3
Net debt/Equity	0.1	NM	NM	NM
Net debt/EBITDA	0.3	NM	NM	NM
ROCE	11.2%	12.0%	12.9%	13.3%
ROE	15.2%	13.9%	15.1%	15.6%
Valuation				
FCFF yield	0.0%	0.0%	0.0%	0.0%
Dividend yield	9.9%	9.8%	11.5%	12.8%
EV/Revenue	0.6	0.5	0.4	0.4
EV/EBITDA	3.0	2.9	2.5	2.1
Adj. P/E	5.0	5.1	4.4	3.9

Summary Investment Thesis and Valuation

We are positive on BP's outlook, given the company's potential to enlarge its customer base and gain market share at existing clients, driven by its strong product innovation and one-stop-solution strategy (offering comprehensive product lines of elastic fabrics, elastic webbing and lace). Maintain OW.

Our Dec-26 PT of HK\$3.40 is based on a 2027 target P/E multiple of 5.5x vs. its historical average of 7x and the current sector average of 10x. Our previous Dec-26 PT of HK\$3.40 was DCF-based and implied a 12-month forward P/E of 5x.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.37	0.37
Region: China	0.38	0.40
Macro:		
Generic 1st 'CO' Future	-0.36	-0.33
JPM Global Equity Sentiment	0.26	0.23
JP Morgan EMBI Global Spread	-0.13	-0.22
Quant Styles:		
Size	-0.29	-0.07
LowVol	0.24	-0.06
Value	0.17	-0.06

1H results

Key positives from the solid 1H results. BP reported solid 1H26 results, with sales +13% yoy and earnings -3% (dragged on mainly by an FX loss of HK\$37mn vs. HK\$5mn in 1H25; core earnings were +10% excluding the FX loss). Key positives included: (1) sportswear sales surging 23% yoy, driven by the ramp-up of new clients (such as ALO, a top 10 client); (2) full-year sales guidance being revised upward to double-digit growth (from high single digits), with high-single-digit sales growth expectations across all segments in 2H, supported by the ramp-up of new projects with major clients (such as Nike and Lululemon); (3) resilient GPM (+0.5ppy yoy), given scale effects and two to three months of raw material reserves, offsetting the raw material inflation; (4) on-track overseas expansion, with new capacity in Vietnam (the Mega project) targeted to commence trial production for 1Q27; (5) financial robustness, with the cash balance up 26% vs. end-2025 and net gearing of 6.3% at a low level; and (6) solid payouts, with interim DPS of HK12.1 cents, implying a ~50% payout ratio.

Valuation

We shift our primary valuation methodology from DCF to forward P/E, while retaining DCF as a cross-check. We believe P/E is a more appropriate framework, given BP's mature earnings profile, and allows for a more direct comparison with its historical trading range and sportswear peers. We use DCF as a cross-check to ensure the implied valuation remains consistent with our long-term growth assumptions.

Table 1: DCF

HK\$ mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Sales	5,665	6,119	6,569	7,020	7,245	7,471	7,698	7,925	8,152
EBIT	713	823	911	1,003	1,066	1,112	1,158	1,206	1,205
Tax rate %	10%	10%	10%	10%	10%	10%	10%	10%	10%
NOPAT	640	738	818	900	957	998	1,040	1,083	1,082
D&A	216	223	231	239	248	259	273	292	319
W.C. change	82	-99	-117	-409	-564	-598	-629	-552	-641
Capex	-300	-315	-331	-347	-365	-401	-481	-578	-693
as % of sales	-5.3%	-5.1%	-5.0%	-4.9%	-5.0%	-5.4%	-6.3%	-7.3%	-8.5%
FCFF	639	548	601	384	277	257	202	246	67
NPV of FCFF	2,714								
PV of terminal value	729								
Net debt	-211								
Minority	120								
Equity value	3,534								
Value per share (HK\$)	3.4								

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Best Pacific International (*Overweight; Price Target: HK\$3.40*)

Investment Thesis

We are positive on BP's outlook, given the company's potential to enlarge its customer base and gain market share at existing clients, driven by its strong product innovation and one-stop-solution strategy (offering comprehensive product lines of elastic fabrics, elastic webbing and lace). Maintain OW.

Valuation

Our Dec-26 PT of HK\$3.40 is based on a 2027 target P/E multiple of 5.5x vs. its historical average of 7x and the current sector average of 10x.

Risks to Rating and Price Target

Downside risks include: (1) a slower-than-expected capacity ramp-up; (2) weaker-than-expected end order demand growth; (3) Rmb appreciation; and (4) a sharp increase in raw material prices.

Upside catalysts include: (1) a stronger-than-expected demand recovery; (2) an earlier-than-expected capacity ramp-up; and (3) Rmb depreciation.

Best Pacific (2111): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	5,061	5,021	5,665	6,119	6,569	Cash flow from operating activities	761	1,108	953	877	947
COGS	(3,705)	(3,684)	(4,140)	(4,435)	(4,750)	o/w Depreciation & amortization	41	445	216	223	231
Gross profit	1,357	1,337	1,525	1,684	1,819	o/w Changes in working capital	6	(117)	82	(99)	(117)
SG&A	(672)	(701)	(811)	(861)	(908)	Cash flow from investing activities	(336)	(450)	(39)	(352)	(356)
Adj. EBITDA	726	1,081	930	1,046	1,142	o/w Capital expenditure	(323)	(495)	(300)	(315)	(331)
D&A	(41)	(445)	(216)	(223)	(231)	as % of sales	6.4%	9.9%	5.3%	5.1%	5.0%
Adj. EBIT	685	636	713	823	911	Cash flow from financing activities	(356)	(647)	(284)	(335)	(376)
Net Interest	(88)	(86)	(91)	(96)	(101)	o/w Dividends paid	(257)	(276)	(273)	(319)	(356)
Adj. PBT	675	632	627	732	816	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(80)	(65)	(64)	(75)	(83)	o/w Net debt issued/(repaid)	51	(186)	80	80	80
Minority Interest	14	(16)	(16)	(19)	(21)	Net change in cash	52	57	629	190	214
Adj. Net Income	608	551	547	638	711	Adj. Free cash flow to firm	437	0	0	(0)	(0)
Reported EPS (Basic)	0.58	0.53	0.53	0.61	0.68	y/y Growth	(38.2%)	(100.0%)	480.9%	(248.4%)	(55.8%)
Adj. EPS	0.58	0.53	0.53	0.61	0.68						
DPS	0.29	0.27	0.26	0.31	0.34						
Payout ratio	50.0%	50.0%	50.0%	50.0%	50.0%						
Shares outstanding	1,040	1,040	1,040	1,040	1,040						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	980	1,037	1,666	1,856	2,071	Gross margin	26.8%	26.6%	26.9%	27.5%	27.7%
Accounts receivable	875	837	950	1,009	1,008	EBITDA margin	14.3%	21.5%	16.4%	17.1%	17.4%
Inventories	1,255	1,301	1,316	1,397	1,562	EBIT margin	13.5%	12.7%	12.6%	13.4%	13.9%
Other current assets	252	200	245	258	306	Net profit margin	12.0%	11.0%	9.7%	10.4%	10.8%
Current assets	3,362	3,376	4,177	4,521	4,947	ROE	18.3%	15.2%	13.9%	15.1%	15.6%
PP&E	2,697	2,662	2,745	2,837	2,937	ROA	9.7%	8.4%	7.8%	8.5%	8.9%
LT investments	97	85	96	104	112	ROCE	12.4%	11.2%	12.0%	12.9%	13.3%
Other non current assets	357	540	269	298	316	SG&A/Sales	13.3%	14.0%	14.3%	14.1%	13.8%
Total assets	6,513	6,663	7,288	7,760	8,312	Net debt/Equity	0.2	0.1	NM	NM	NM
Short term borrowings	614	558	588	618	648	Net debt/EBITDA	0.8	0.3	NM	NM	NM
Payables	726	674	845	869	931	Sales/Assets (x)	0.8	0.8	0.8	0.8	0.8
Other short term liabilities	527	510	594	625	658	Assets/Equity (x)	1.9	1.8	1.8	1.8	1.8
Current liabilities	1,867	1,743	2,028	2,112	2,237	Interest cover (x)	8.3	12.6	10.2	10.9	11.3
Long-term debt	948	817	867	917	967	Operating leverage	282.4%	888.4%	94.8%	191.1%	145.8%
Other long term liabilities	164	215	215	215	215	Tax rate	11.9%	10.2%	10.2%	10.2%	10.2%
Total liabilities	2,978	2,775	3,110	3,245	3,419	Revenue y/y Growth	20.5%	(0.8%)	12.8%	8.0%	7.4%
Shareholders' equity	3,447	3,785	4,058	4,377	4,733	EBITDA y/y Growth	(11.0%)	49.0%	(14.0%)	12.5%	9.2%
Minority interests	87	104	120	139	159	EPS y/y Growth	75.3%	(9.3%)	(0.8%)	16.7%	11.4%
Total liabilities & equity	6,513	6,663	7,288	7,760	8,312						
BVPS	3.32	3.64	3.90	4.21	4.55						
y/y Growth	7.2%	9.8%	7.2%	7.9%	8.1%						
Net debt/(cash)	581	338	(211)	(321)	(455)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	4.6	5.0	5.1	4.4	3.9
						P/BV (x)	0.8	0.7	0.7	0.6	0.6
						EV/EBITDA (x)	4.7	3.0	2.9	2.5	2.1
						Dividend Yield	10.9%	9.9%	9.8%	11.5%	12.8%

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Best Pacific (2111) (2111.HK, 2111 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 22, 2018. All share prices are as of market close on the previous business day.

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